Civil Resolution Tribunal

Date Issued: March 13, 2020

File: SC-2019-009066

Type: Small Claims

Civil Resolution Tribunal

Indexed as: *Seaville Transport Ltd v. Preferred Service Customs Brokers Inc.*, 2020 BCCRT 297

B E T W E E N :

SEAVILLE TRANSPORT LTD

APPLICANT

A N D :

PREFERRED SERVICE CUSTOMS BROKERS INC.

RESPONDENT

REASONS FOR DECISION

Tribunal Member: Chad McCarthy

INTRODUCTION

1. This dispute is about an allegedly stolen shipping container. The applicant, Seaville Transport Ltd (Seaville), was hired by the respondent, Preferred Service Customs Brokers Inc. (Preferred), to move a shipping container from a port in Vancouver, BC

to Preferred's customer, VFD, and to return it to the port when empty. The shipping container was allegedly stolen after it was dropped off at VFD.

2. Seaville claims Preferred owes it $4,702.28, the amount Seaville says it paid a steamship company, ONE, for the stolen container. Preferred denies owing Seaville anything, saying that it never had custody or possession of the shipping container, and that Seaville's dispute is with either VFD or ONE.

3. The parties are each represented by an employee or principal.

JURISDICTION AND PROCEDURE

4. These are the formal written reasons of the Civil Resolution Tribunal (tribunal). The tribunal has jurisdiction over small claims brought under section 118 of the Civil Resolution Tribunal Act (CRTA). The tribunal's mandate is to provide dispute resolution services accessibly, quickly, economically, informally, and flexibly. In resolving disputes, the tribunal must apply principles of law and fairness, and recognize any relationships between parties to a dispute that will likely continue after the dispute resolution process has ended.

5. The tribunal has discretion to decide the format of the hearing, including by writing, telephone, videoconferencing, email, or a combination of these. I decided to hear this dispute through written submissions only, as I find that there are no significant issues of credibility or other reasons that might require an oral hearing.

6. The tribunal may accept as evidence information that it considers relevant, necessary and appropriate, whether or not the information would be admissible in a court of law. The tribunal may also ask questions of the parties and witnesses and inform itself in any other way it considers appropriate.

7. Where permitted by section 118 of the CRTA, in resolving this dispute the tribunal may order a party to do or stop doing something, pay money or make an order that includes any terms or conditions the tribunal considers appropriate.

ISSUE

8. The issue in this dispute is whether Preferred is responsible for the cost of the allegedly stolen shipping container, and if so, must it reimburse Seaville?

EVIDENCE AND ANALYSIS

9. In a civil claim such as this, the applicant bears the burden of proving its claim, on a balance of probabilities. I have read all the parties' evidence and submissions, but I have only addressed the evidence and arguments to the extent necessary to explain my decision.

10. The parties agree that Preferred hired Seaville to transport the shipping container from the port to VFD, and to return it to the port when empty. Seaville picked up the shipping container on or around February 21, 2019. Neither party denies that VFD reported the shipping container stolen within a few days of it being dropped off. According to emails in evidence, Seaville said its trailer, which had been stolen along with the shipping container, was found by early March 2019.

11. In June 2019, ONE invoiced Seaville $3,571.21 USD for the missing shipping container. Seaville provided a copy of a September 12, 2019 cheque to ONE for $3,571.21. Seaville does not say why it paid Seaville for the shipping container, despite it going missing when in VFD's possession.

12. According to a printout from an online cargo tracking service submitted by Preferred, the empty shipping container was returned to the port on February 25, 2019, four days after it left. It is not clear why ONE later invoiced Seaville for the missing shipping container when this tracking system shows it was returned promptly to the port as expected.

13. Seaville says it tried to have VFD pay for ONE's shipping container charges, but VFD said it hired, and would only deal with, Preferred, not Seaville. There is no evidence documenting any such discussions between Seaville and VFD. Seaville says it must seek payment from Preferred because that is who its transportation

agreement is with, not VFD. I place little weight on this argument, because Seaville could have sought reimbursement from VFD even in the absence of an agreement, for example through the law of bailment (the temporary transfer of possession or custody of property).

14. While I acknowledge Seaville's transportation agreement is with Preferred, not VFD, that does not necessarily mean Preferred is responsible for the missing shipping container. Seaville does not deny that Preferred never had possession of the shipping container. Further, there is no evidence that Preferred agreed to be responsible for the container. In fact, Preferred submitted an "Agreement of Empty Return Guarantee" between VFD and a shipping company, NL, in which VFD agreed to return the shipping container in good condition to an agreed depot. This is additional evidence that Preferred was not responsible for the shipping container.

15. Given the evidence showing that the empty shipping container was returned to the port within a few days, it is possible that ONE mistakenly issued the invoice to Seaville. On the other hand, if the tracking information is incorrect and the shipping container was never returned, then it is not clear why Seaville paid for the container when it was stolen while in VFD's possession. In either case, Preferred is not responsible for the missing shipping container.

16. Given my analysis above, I find that Preferred is not responsible for the missing shipping container, and therefore does not owe Seaville anything for it. I dismiss Seaville's claim.

17. Under section 49 of the CRTA and tribunal rules, the tribunal will generally order an unsuccessful party to reimburse a successful party for tribunal fees and reasonable dispute-related expenses. I see no reason to depart from that general practice in this dispute. I make no order for tribunal fees and dispute-related expenses, as Seaville was unsuccessful, and Preferred requested no dispute-related expenses.

ORDER

18. I dismiss the applicant's claims and this dispute.

Chad McCarthy, Tribunal Member